

Market Survey:

What Drives The Indian Market For MATERIALS AND CHEMICALS Used In Electronics Manufacturing



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Demand for chemicals and materials used in electronics manufacturing is bound to increase, owing to growth in this sector in India. The Indian electronics market is one of the fastest growing in the world and is anticipated to reach US\$ 400 billion in 2022, with domestic manufacturing climbing to over US\$ 100 billion. This burgeoning market presents an attractive opportunity to the suppliers of chemicals and materials used in electronics manufacturing.

Solid, liquid and gaseous chemical substances are used in the fabrication of semiconductors and printed circuit boards (PCBs). Considering the important linkage of the chemicals sector with the electronics manufacturing industry, we decided to take a fresh look at it to understand how it has been shaping up by interacting with some industry stakeholders. However, rather than merely presenting perspectives shared by industry insiders, we thought of sharing industry trends through a mini survey of a sample group.

This report highlights key demand-side and supply-side drivers and the challenges faced by companies in this sector.

Market opportunity

Increase in demand for electronics chemicals and materials is related to the overall growth in electronics manufacturing as well as the

Market drivers

- Increased investment in electronics manufacturing by foreign OEMs
- Increased thrust on manufacturing in electronics sector through 'Make in India' drive
- Government's new focus on chemicals industry
- Demand for quality materials

Methodology

Our editorial team has collated information through primary interviews. We conducted ten survey interviews with stakeholders from across global and Indian companies. This sample group is a microcosmic representation of the Indian electronics chemicals and materials industry ecosystem, comprising suppliers of chemicals and materials as well as users like PCB manufacturers and electronics manufacturing services (EMS) providers (Fig. 1). These senior professionals have shared their insights on the following:

1. Approximate growth rate
2. Market drivers
3. Demand versus supply gap
4. Types of products in demand
5. Primary sources of products
6. Market challenges

A trend analysis was done on the basis of their inputs, and results of the analysis are presented here.

technological innovations that will create opportunities for the use of these materials.

According to Research and Markets, a global market research and consulting company based in the USA, the global electronics chemicals and materials market was valued at US\$ 43.51 billion in 2015 and is expected to reach US\$ 64.92 billion by 2022, with a CAGR of 6.1 per cent from 2016 to 2022.

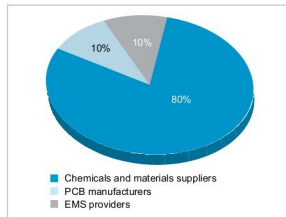


Fig. 1: Participants' profiles